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“
Branding is
what people
say about
you when
you are not
in the room.”
”



-Jeff Bezos



“SOME PEOPLE QUESTION THE AMOUNT OF INVESTMENTS THE GOVERNMENT HAS COMMITTED IN THE INDIAAI MISSION. YOU HAVE SEEN WHAT DEEPSEEK HAS DONE? \$5.5 MILLION AND A VERY VERY POWERFUL MODEL... BECAUSE, USE OF BRAIN.”

— **ASHWINI VAISHNAW, MINISTER FOR RAILWAYS, INFORMATION & BROADCASTING AND ELECTRONICS & IT, GOVERNMENT OF INDIA**



Small wonder or large: You decide for yourself

- **Small team:** Less than 200 people
- **Less computation resources:** Around 2000 GPUs (mostly Nvidia H800)
- **Less training time:** 55 days
- **Low cost:** Less than \$6 million
- **Large model:** 671 billion parameters!

stocks are already rebounding.

Satya Nadella of Microsoft nailed it when he said, “Jevons Paradox strikes again! As AI gets more efficient and accessible, we will see its use skyrocket, turning it into a commodity we just can’t get enough of.”

The Jevons Paradox, proposed in 1865 by English economist William Stanley Jevons, suggests that as a resource becomes more efficient, its price is bound to drop, and its demand could actually increase. In the context of AI, experts feel that the lower cost of AI will lead to more applications and a greater demand for it—the technological approach may change, but the demand for AI will continue to rise.

Change is the only constant

Well, if David shifted the paradigm, the Goliaths would have to adapt to it eventually! If anything, the DeepSeek drama has definitely made Sam Altman change his narrative on India’s AI capabilities.

Two years ago, he controversially opined that Indians cannot even hope to build AI models with their low budgets. Now, he feels India should go for the full-stack approach! “That was in a different

context,” he said during his visit to India in February, “That was a time when frontier models were super-expensive to do. If you look at the cost curve of AI, we have been able to reduce the cost of a given level of intelligence about 10x every 12 months, which is unbelievably more powerful than Moore’s Law.” Now, he not only recognises India as one of their key markets but also sees it as a potential leader in the AI revolution. It is a country with a high degree of creativity, which could lead to the development of reasoning models at efficient costs.

During the discussion, India’s IT Minister, Ashwini Vaishnaw reiterated the country’s dream of designing GPU chips; building the foundational models; and then building apps on top of that. He quipped that like India completed its moon mission at a fraction of the cost taken by other moon missions, maybe we would also succeed in creating a foundational or frontier model at a fraction of the cost.

Yes, indeed, we are sure to see more indigenous, small and smart AI models come to the limelight now that DeepSeek-R1 has kick-started the wave! **EFY**